EQUITY RESEARCH REPORT

HDFC Bank Limited

Prepared By: Priyraj Dhumal

HDFC Bank Limited

Executive Summary

Target Price: ■224.10

Valuation Summary

Method	Fair Value
DCF	■0.00
Peter Lynch	■448.20
Current Price	■799.00

• Premium Valuation

• Growth Slowdown Risk

• Global IT Spending Risk

Market Cap: ■12.30 Trillion

PE Ratio: 17.826862

Beta: 0.432

EPS: 44.82

ROE: 13.82%

Dividend Yield: N/A

52 Week High: ■1020.5

52 Week Low: ■726.65

Cash: ■311,926 Cr

Debt: ■588,485 Cr

Valuation Metrics

Peter Lynch Fair Value: ■448.20

DCF Valuation

Free Cash Flow: ■0 Cr

DCF Fair Value: ■0.00

Final Rating: SELL

Current Price: ■799.00

DCF Fair Value: ■0.00

Peter Lynch Fair Value: ■448.20

DCF Upside / Downside: -100.00%

Peter Lynch Upside / Downside: -43.90%

Key Strengths

- Strong ROE
- Healthy Profit Margins
- Strong Balance Sheet
- Consistent Revenue Growth

Key Concerns

- Premium Valuation
- Growth Slowdown Risk
- Global IT Spending Risk

Current Price: ■799.0

Price To Book: 2.0987213

Enterprise Value: ■15.07 Trillion

Forward PE: 12.715392

Current Price: ■799.0

DCF Upside / Downside: -100.00%

Recommendation Key: strong_buy

Company Overview

HDFC Bank Limited provides banking and financial products and services to individuals and businesses in India, Bahrain, Hong Kong, Singapore, and Dubai. The company operates through Treasury, Retail Banking, Wholesale Banking, Other Banking Business, Insurance Business, and Other segments. It offers...

SWOT Analysis

Strengths
- Market leader in Indian IT
- High ROE and margins

Weaknesses

• Slower growth than mid-cap IT firms
• Premium valuation

Opportunities
• AI transformation demand
• Cloud migration growth

Threats
• Global recession
• Currency volatility

Investment Thesis

• Market leader in Indian IT Services
• Strong ROE and healthy profit margins
• Consistent revenue growth over time
• Strong cash position and manageable debt
• Attractive valuation relative to growth

Key Risks

• Slowdown in global IT spending
• US recession affecting client budgets
• AI disruption to traditional IT services
• Currency fluctuation risks
• Competition from Accenture, Infosys and Wipro

Peter Lynch Valuation

Upside / Downside: -43.90%

Estimated Fair Value: ■448.20

Investment Recommendation

Rating: SELL

Analyst Consensus

Wall Street Consensus: STRONG_BUY

Street Rating: STRONG_BUY

Relative Valuation

TCS PE: 17.83

Peer Average PE: 15.75

Valuation Status: OVERVALUED

Peer Comparison

Company	Market Cap	PE	ROE
TCS	■7.97 T	16.19	48.40%
INFY	■4.56 T	14.83	31.44%
HCLTECH	■3.14 T	18.95	23.36%
WIPRO	■1.92 T	14.55	15.44%

Financial Health Scorecard

ROE: FAIL

Profit Margin: PASS

Revenue Growth: PASS

Debt Position: FAIL

Overall Score: 2/4

Trend Analysis

Revenue Growth (Multi-Year): 96.74%

Average Profit Margin: 33.61%

Overall Trend Rating: POSITIVE

Investment Scorecard

Financial Health Score: 2/4

Trend Analysis: POSITIVE

Peter Lynch Fair Value: ■448.20

DCF Fair Value: ■0.00

Overall Investment Score: 1/7

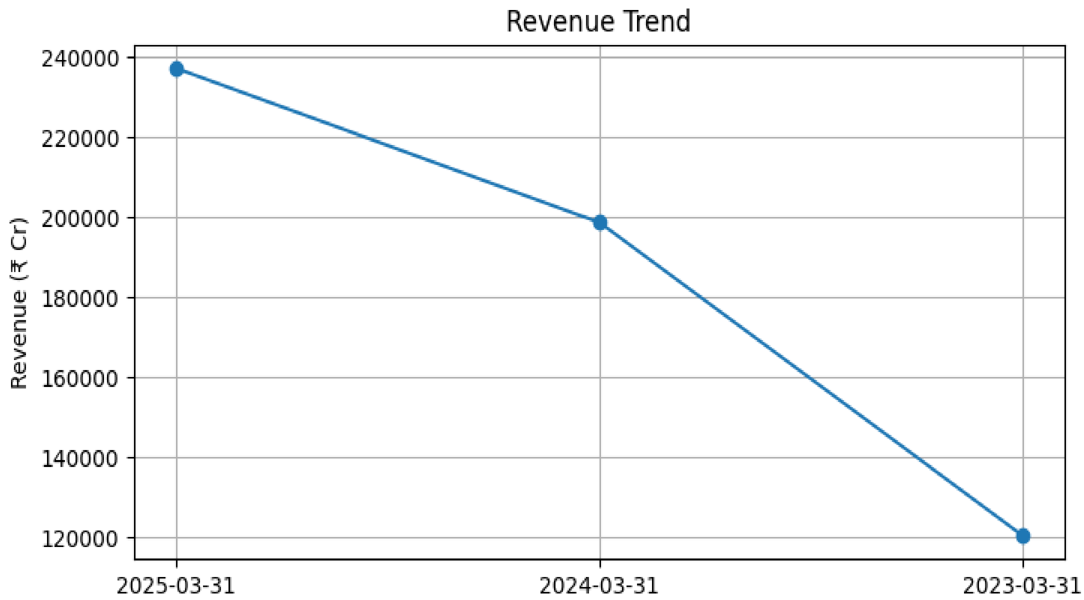
FINAL RATING: SELL

Financial Performance

Year	Revenue	Net Income	Profit Margin %	Revenue Growth %
2025-03-31	■237,151 Cr	■67,351 Cr	28.40	19.36
2024-03-31	■198,693 Cr	■62,266 Cr	31.34	64.84
2023-03-31	■120,538 Cr	■49,545 Cr	41.10	18.24

5 Year Stock Price Chart

Revenue Trend



Net Income Trend